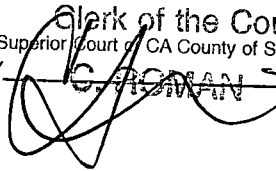


ATTORNEY OR PARTY WITHOUT ATTORNEY (Name, State Bar number, and address): Taft Stettinius & Hollister, LLP / Jon Sriro (MI Bar #P52100) 27777 Franklin Road, Suite 2500 Southfield, MI 48034 TELEPHONE NO.: 248-351-3000 FAX NO. (Optional): E-MAIL ADDRESS (Optional): jsriro@taftlaw.com ATTORNEY FOR (Name): LS Investment Advisors, LLC	FOR COURT USE ONLY FILED FEB 07 2024 Clerk of the Court Superior Court of CA County of Santa Clara BY  DEPUTY
Court for county in which discovery is to be conducted: County of Santa Clara SUPERIOR COURT OF CALIFORNIA, COUNTY OF Santa Clara STREET ADDRESS: 191 North First Street MAILING ADDRESS: CITY AND ZIP CODE: San Jose, CA 95113 BRANCH NAME:	
Court in which action is pending: Oakland County Circuit Court (Michigan) Name of Court: Oakland County Circuit Court STREET ADDRESS: 1200 N. Telegraph Road MAILING ADDRESS: CITY, STATE, AND ZIP CODE: Pontiac, MI 48341 COUNTRY: United States	
PLAINTIFF/PETITIONER: Detroit IT, LLC DEFENDANT/RESPONDENT: LS Investment Advisors, LLC	CALIFORNIA CASE NUMBER (if any assigned by court) 24CV430525
APPLICATION FOR DISCOVERY SUBPOENA IN ACTION PENDING OUTSIDE CALIFORNIA	

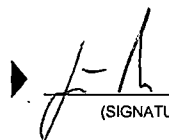
1. Applicant (name): **LS Investment Advisors, LLC** is (check one):
☐ Plaintiff ☐ Petitioner ☒ Defendant ☐ Respondent ☐ Other (specify):
 in the above action.
2. Applicant requests that this court issue a subpoena for discovery under Code of Civil Procedure sections 2029.100 – 2029.900 to (name and address of deponent or person in control of property):
Proofpoint, Inc. 925 W. Maude Avenue, Sunnyvale, CA 94085
3. Attached is (check one): ☐ the original ☒ a true and correct copy of the document from the court in which the action is pending that requires the person in 2 to (check all that apply):
- ☐ attend and give testimony at a deposition;
 - ☒ produce and permit inspection and copying of designated materials, information, or tangible things in the possession, custody, or control of the deponent;
 - ☐ permit the inspection of premises under the control of the deponent.
4. Applicant submits with this application a proposed subpoena that includes terms identical to those in the document from the out-of-state court. (Code of Civil Procedure section 2029.300(d).)

I declare under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

Date: **February 1, 2024**

Jon Sriro, Attorney for LS Investment Advisors

(TYPE OR PRINT NAME)



(SIGNATURE OF ATTORNEY OR PARTY WITHOUT ATTORNEY)

Note: This application must be accompanied by the fee specified in Government Code section 70626. A discovery subpoena must be personally served on the deponent in compliance with California law, including Code of Civil Procedure section 1985.

STATE OF MICHIGAN JUDICIAL DISTRICT 6th JUDICIAL CIRCUIT COUNTY	SUBPOENA Order to Appear and/or Produce	CASE NO. and JUDGE 23-199795-CB
---	--	---

Court address 1200 North Telegraph Road, Pontiac, MI 48341

Court telephone no.

Police Report No. (if applicable):

248-858-0582

Plaintiff(s)/Petitioner(s) ☐ People of the State of Michigan ☒ DETROIT IT, LLC	v	Defendant(s)/Respondent(s) LS INVESTMENT ADVISORS, LLC
☒ Civil ☐ Criminal		Charge
In the matter of _____		

In the Name of the People of the State of Michigan. TO: Proofpoint, Inc. / Custodian of Records
 925 W. Maude Avenue
 Sunnyvale, CA 94085

If you require accommodations to use the court because of a disability, or if you require a foreign language interpreter to help you fully participate in court proceedings, please contact the court immediately to make arrangements.

YOU ARE ORDERED TO:

☐ 1. Appear personally at the time and place stated below: You may be required to appear from time to time and day to day until excused.		
☐ The court address above ☐ Other:		
Day	Date	Time

☐ 2. Testify at trial / examination / hearing.

☒ 3. ☒ Produce copies* of the following items: (Use additional pages if necessary.) EXHIBIT A (to be produced on or before
before February 19, 2024, plus 7 days additional if necessary to comply). EXHIBIT B (informational purposes only)

*Note: Requesting party must pay reasonable copying costs, which cannot be waived under MCR 2.002.

☐ Permit inspection or copying of the following items: (Use additional pages if necessary.) _____

☐ 4. Testify as to your assets, and bring with you the items listed in line 3 above.

☐ 5. Testify at deposition.

☐ 6. Abide by the attached prohibition against transferring or disposing of property. (MCL 600.6104(2), 600.6116, or 600.6119.)

☒ 7. Other: EXHIBIT A DOCUMENTS TO BE PRODUCED ON OR BEFORE FEBRUARY 19, 2024

No appearance is required if documents requested in Exhibit A are produced on or before February 19, 2024

☒ 8.	Person requesting subpoena Jon Sriro (P52100)	Telephone no. 248-351-3000
	Address 27777 Franklin Road, Suite 2500	
	City Southfield, MI 48034	State Zip



NOTE: If requesting a debtor's examination under MCL 600.6110, or an injunction under item 6, this subpoena must be issued by a judge. For a debtor examination, the affidavit of debtor examination below must also be completed. Debtor's assets can also be discovered through MCR 2.305 without the need for an affidavit of debtor examination or issuance of this subpoena by a judge.

FAILURE TO OBEY THE COMMANDS OF THE SUBPOENA OR TO APPEAR AT THE STATED TIME AND PLACE MAY SUBJECT YOU TO PENALTY FOR CONTEMPT OF COURT.

Court use only	
☐ Served	☐ Not served

Jon Sriro

Judge/Clerk/Attorney signature and date

AFFIDAVIT FOR JUDGMENT DEBTOR EXAMINATION

I request that the court issue a subpoena that orders the party named on this form to be examined under oath before a judge concerning the money or property of _____
for the following reasons:

Signature Deborah S. Rubin (P58752)

Subscribed and sworn to before me on _____
Date

Deputy clerk/Notary public signature

My commission expires on _____

Name (type or print)

Notary public, State of Michigan, County of _____ ☐ Acting in the County of _____

☐ This notarial act was performed using an electronic notarization system or a remote electronic notarization platform.

PROOF OF SERVICE

TO PROCESS SERVER: You must serve the subpoena and file proof of service with the court clerk. If you are unable to complete service, you must return this original and all copies to the court clerk.

CERTIFICATE OF SERVICE / NONSERVICE

☐ I served ☐ personally ☐ by registered or certified mail, return receipt requested, and delivery restricted to the addressee (copy of return receipt attached) a copy of the subpoena, together with any required fees and the attachments listed below, on:

☐ I have attempted to serve a copy of the subpoena, together with any required fees and the attachments listed below, and have been unable to complete service on:

Name	Date and time of service
Place or address of service	
Attachments (if any)	

I declare under the penalties of perjury that this certificate of service has been examined by me and that its contents are true to the best of my information, knowledge, and belief.

Service fee	Miles traveled	Fee	
\$		\$	
Incorrect address fee	Miles traveled	Fee	TOTAL FEE
\$		\$	\$

Signature

Name (type or print)

ACKNOWLEDGMENT OF SERVICE

I acknowledge that I have received service of a copy of the subpoena, together with any required fees and

Attachments (if any) _____ on _____
Date and time

Signature _____ on behalf of _____

Name (type or print) _____

Exhibit A
Subpoena Directed to Proofpoint

For the Proofpoint account for/under the name of “Eric Grundlehner” at 200 E. Brown Street, Birmingham, MI 48009 or PO Box 1411, Birmingham, MI 48012, please provide the documents requested in requests 1-2 for the period of January 1, 2020 through March 31, 2023 as they relate to the following domains:

- a. mysia.com;
- b. lsiaway.com;
- c. thelsiaway.com;
- d. lsiawealth.com;
- e. lsiainstitutional.com;
- f. mysiawealth.com; and
- g. mysiainstitutional.com.

1. Produce all access logs/audit logs.
2. Produce all remote management and monitoring access logs.

For the Proofpoint account for/under the name of “Detroit IT, LLC” at 200 E. Brown Street, Birmingham, MI 48009 or PO Box 1411, Birmingham, MI 48012, please provide the documents requested in requests 3-4 for the period of January 1, 2020 through March 31, 2023 at they relate to the following domains:

- a. mysia.com;
- b. lsiaway.com;
- c. thelsiaway.com;
- d. lsiawealth.com;
- e. lsiainstitutional.com;
- f. mysiawealth.com; and
- g. mysiainstitutional.com.

3. Produce all access logs/audit logs.
4. Produce all remote management and monitoring access logs.
5. Produce all external non-privileged communications related to requests 1-4.

EXHIBIT B

STATE OF MICHIGAN IN THE OAKLAND COUNTY CIRCUIT COURT BUSINESS COURT

DETROIT IT, LLC, a Michigan limited
liability company,

Plaintiff/Counter-Defendant,

v.

LS INVESTMENT ADVISORS, LLC, a
Michigan limited liability company,

Defendant/Counter-Plaintiff,

and

LS INVESTMENT ADVISORS, LLC, a
Michigan limited liability company,

Third-Party Plaintiff,

v.

ERIC GRUNDLEHNER, an individual,

Third-Party Defendant.

Bradley S. Defoe (P70233)
Marisa K. McConnell (P86697)
Attorneys for Plaintiff/Counter-Defendant
480 Pierce Street, Suite 300
Birmingham, MI 48009
bsdefoe@varnumlaw.com
mkmccConnell@varnumlaw.com

Jon Sriro (P52100)
Benjamin M. Low (P82834)
Taft Stettinius & Hollister, LLP
Attorneys for Defendant/Counter-Plaintiff
Third-Party Plaintiff
27777 Franklin Road, Suite 2500
Southfield, MI 48034
248-351-3000
jsriro@taftlaw.com
benlow@taftlaw.com

FIRST AMENDED COUNTERCLAIM AND THIRD-PARTY COMPLAINT WITH JURY DEMAND

Plaintiff/Counter-Defendant LS Investment Advisors, LLC d/b/a LSIA ("LSIA or
"Counter-Plaintiff"), through its attorneys Taft Stettinius & Hollister, LLP, submits its

Counterclaim against Counter-Defendant Detroit IT, LLC ("Detroit IT" or "Counter-Defendant") and Eric Grundlehner ("Grundlehner")(collectively, the "Defendants") and states:

Introduction

1. This action alleging fraud and/or misrepresentation, violation of the Stored Communications Act ("SCA"), 18 U.S.C. § 2701 *et seq.*, violation of the Computer Fraud and Abuse Act ("CFAA"), 18 U.S.C. §1030, conversion, and breach of contract arises as a direct and proximate result of misconduct committed by Counter-Defendant, including, but not limited to:

- a) Illegal attempt to obtain payment from LSIA through extortion;
- b) Accessing LSIA's network and computer systems to view LSIA's confidential and proprietary information, including communications, without LSIA's authorization that are protected communications and information under the Gramm Leach Bliley Act;
- c) Intentional interference with LSIA's ability to operate its business and service its clients, through intentionally withholding passwords from LSIA, shutting down critical services LSIA relied upon and paid for, interfering with LSIA's ability to use the services of its vendors, refusing to relinquish control over parts of LSIA's information infrastructure, and detrimentally impacting LSIA's business, which operates across numerous states; and
- d) Refusing to turn over access and/or control to LSIA's information infrastructure.

2. As a direct and proximate result of their actions, Counter-Defendant impaired the ability of LSIA to operate and has caused substantial damages.

3. Detroit IT, under the direction of Grundlehner, has engaged in the same pattern and practice of racketeering activity against many other clients, evidenced, in part, by multiple prior

and ongoing lawsuits and scathing judicial opinions and injunctions issued against Detroit IT, which includes an opinion from the Eastern District of Michigan finding that Counter-Defendant's actions, as described above, can form the basis of a civil RICO claim.

Parties, Jurisdiction, and Venue

4. Counter-Plaintiff, LSIA is a Michigan limited liability company which has its primary place of business in Oakland County, Michigan.

5. Counter-Defendant, Detroit IT is a Michigan limited liability company whose principal place of business is in Oakland County, Michigan.

6. Defendant Eric Grundlehner is an individual who conducts business in Oakland County, Michigan.

7. This Court has jurisdiction over this counterclaim and third-party complaint as the amount in controversy exceeds \$25,000, exclusive of interest, costs, and attorneys' fees, and is otherwise within the jurisdiction of this Court.

General Allegations

8. Detroit IT is an IT management and consulting company.

9. LSIA is an SEC registered investment advisor which provides financial advisory services related to its clients' investment and financial planning needs.

10. LSIA operates across the United States and serves individuals across the United States, including, but not limited to, the states where it has offices – Michigan, Florida, and Wisconsin.

11. Because LSIA operates on a national scale, it relies on its information infrastructure to coordinate its business, provide its services to its clients, and to communicate with its clients.

12. Further, because LSIA operates within the financial services sector, it is subject to

strict federal regulations related to, among other things, data security and privacy. Counter-Defendants are aware of these obligations when it began providing services to LSIA.

13. Since LSIA's business is reliant on its information infrastructure, it has invested heavily in its computer and networking hardware, software, data security, and its entire information infrastructure to ensure that its business can run properly, that it can service clients across the United States and protect their nonpublic personal information.

14. Detroit IT alleges that LSIA signed a proposal for the provision of IT management services (the "Agreement") with LSIA, however, it failed to attach any such signed agreement to its Complaint, let alone any agreement.

15. The Agreement was allegedly entered into on or about January 13, 2020, after LSIA split from Loomis, Sayles & Company – an investment management firm based in Boston which has over \$347 billion in assets.

16. Mr. Jones allegedly signed the proposal with Detroit IT, which was for the provision IT management services (the "Agreement"), because Detroit IT's President and Chief Technology Officer, Grundlehner, represented that Detroit IT would be able to provide all of the IT services that LSIA required to operate in the financial services sector.

17. Grundlehner, the President and Chief Technology Officer for Detroit IT, runs and directs Detroit IT, including performing IT work, supervising staff, participating in billing, and handling customers complaints.

18. Unbeknownst to LSIA at the time, Defendants had a longstanding and ongoing plan and common purpose to intentionally and willfully defraud and extort customers similarly situated to LSIA – customers that hired Detroit IT without knowing that Detroit IT was unable/unwilling to provide the services that it represented that it could/would provide and that Detroit IT would

use the Agreement and its control over its customers' information infrastructure to extort payments from its customers.

19. LSIA began utilizing Detroit IT's services (the "Services"), specifically for Detroit IT to provide LSIA with managed IT services for all of its offices which included maintenance of its information infrastructure, remote and onsite support for its firewalls, network switches, access points, servers, workstations, and printers. Detroit IT also agreed to provide LSIA with anti-virus and anti-malware protection, management of LSIA's VoIP phone system and LSIA's internet domains, and management of its Office 365 accounts – which included its entire e-mail system.

20. Along with the Services, LSIA purchased tens of thousands of dollars of equipment from Detroit IT for its Detroit, Milwaukee, Boca Raton, and Pasadena offices.

21. LSIA trusted and relied upon Defendants to provide the Services in a professional manner, and to refrain from taking any actions which would harm LSIA and its business.

22. Correspondingly, to allow Detroit IT to perform the Services, LSIA provided access to its information infrastructure to Defendants, including, but not limited to, administrative access to its hosting, cloud, and online accounts, along with its networking hardware and computer systems, which was all expressly limited to the extent necessary for Detroit IT to perform the Services.

23. Unfortunately, Detroit IT failed to provide the Services that it said it would provide, with the specified quality, integrity and professionalism, and it exceeded the limits of its permitted access to LSIA's information infrastructure.

24. LSIA timely paid invoices for services and equipment that Detroit IT represented that they installed and which they represented were performed. Detroit IT is in possession of all relevant invoices.

25. Unbeknownst to LSIA, Detroit IT charged LSIA for equipment and services that were never provided.

26. Detroit IT fraudulently sent the invoices for the equipment and services that it did not provide to LSIA.

27. LSIA paid many of the fraudulent invoices in reliance on Detroit IT's misrepresentations.

28. On one instance when LSIA challenged Detroit IT's billing practices in August 2021, Detroit IT shut down LSIA's phone systems without notice – and significantly damaged LSIA – to force LSIA to pay the invoices which it disputed without recourse.

29. Detroit IT's forcing of LSIA to pay invoices which were for services and equipment which Detroit IT did not provide was an act of extortion, as Detroit IT used force through the shut down of LSIA's phone system.

30. Detroit IT regularly shut down or caused to be shut down services and software that LSIA paid for without notice – such as LSIA's KnowBe4 cybersecurity system and Adobe Acrobat software.

31. Detroit IT also failed to pay third-party service providers for services that LSIA made prepayment for to Detroit IT, resulting in those services being suspended.

32. In violation of the Agreement, Detroit IT refused to provide the support and equipment that it was required to provide and/or would have excessive delays in providing its support services.

33. Detroit IT's refusal to provide support extended to its refusal to answer questions about its, and LSIA's, cybersecurity practices which Detroit IT knew was required for LSIA's insurance renewals and regulatory compliance.

34. Detroit IT failed to remove wiring from LSIA's old Wisconsin office.

35. Detroit IT would also routinely interfere with LSIA's ExchangeSync server by changing LSIA's password for the ExchangeSync server – despite being told numerous times not to change the password for ExchangeSync – which resulted in LSIA being unable to access its electronic communications or utilize its ExchangeSync software. All these things were mission critical services that LSIA relied upon to operate its business.

36. Detroit IT refused to turn over administrative credentials to LSIA's network and computer systems, including, but not limited to its keyless entry access system and domains. As a result, LSIA was unable to monitor who accessed its offices, which was critical for implementing its physical data security safeguards.

37. Defendants also monitored LSIA's communications and accessed LSIA's e-mails and other confidential information without authorization.

38. All the foregoing, which is not a complete list of service failures and fraud by Counter-Defendant, constituted material breaches of contract by Counter-Defendant.

39. As a result of these issues, and numerous other issues LSIA had with Defendants, on April 1, 2023, LSIA informed Defendants that it would be using the services of another IT service provider.

40. Because LSIA informed Detroit IT that it would not renew the Agreement, Detroit IT began moving its illegal scheme forward by immediately commencing the instant action and refusing to return LSIA's access to its information infrastructure, including, but not limited to, transferring the registration of LSIA's domains to LSIA and providing LSIA with its credentials for cloud services that LSIA had paid for, which include, but are not limited to, access to SEIM data, Barracuda, Box, Office 365, Lastpass, Cisco Meraki, and Azure Virtual Services.

41. Defendants made numerous attempts to interfere with LSIA's IT services and providers subsequent to LSIA's termination of Detroit IT.

42. Detroit IT also began claiming that LSIA owed it tens of thousands of dollars as justification to illegally withhold LSIA's access to its information infrastructure, including, but not limited to, LSIA's domains.

43. On April 28, 2023, LSIA delivered to Detroit IT a litigation hold letter, which Detroit IT's counsel acknowledged receipt. A copy of the litigation hold letter is attached as **Exhibit A**.

A. Defendants' Scheme to Defraud Similar Customers Establish a Pattern of Conduct

44. Defendants actively participated in the scheme to obtain funds from LSIA, which Defendants did not earn, through a pattern of fraudulent activity that included, without limitation, fraudulent invoices, accessing LSIA's e-mails without authorization, extortion, and interference with LSIA's business operations.

45. Defendants have and continue to be engaged in the same or similar scheme, with the same or similar purposes to defraud other victims, using the same or similar methods of commission, or which are otherwise interrelated by distinguishing characteristics and are not isolated events.

46. Detroit IT and/or Grundlehner have been sued by many other similarly situated customers who, after attempting to terminate Detroit IT's services, also experienced instances of extortion and/or hacking for unearned funds.

47. These cases include, but are not limited to: (i) *Production Plus Inc. v Detroit IT*, Oakland County Business Court Case No. 2019-178289-CB; (ii) *Paul Chambers v Detroit IT*, Oakland County Business Court Case No. 2015-148388-CB, Judge Michael Warren; (iii) *Custom*

Home Health Inc. v Detroit IT, Oakland County Business Court Case No. 2020-181970-CB; (iv) *Search Plus International Inc v Detroit IT*, Oakland County Business Court Case No. 2020-180046-CB; (v) *Broder & Sachse Real Estate*, Oakland County Business Court Case No. 2019-174634-CB; (vi) *SK Dental Labs Inc v Detroit IT*, Oakland County Business Court Case No. 2018-169904-CB; (vii) *GE Dist v Detroit IT*, Oakland County Business Court Case No. 2018-170280-CB; (viii) *Plymouth Technology Inc v Detroit IT*, Oakland County Business Court Case No. 2020-182419-CB; (ix) *Axle of Dearborn, Inc v Detroit IT et al*, United States District Court Eastern District of Michigan Case No. 21-cv-10163; (x) and *Detroit IT, LLC v Randall S. Miller & Associates, P.C.*, Oakland County Business Court Case No. Case No. 2022-195682-CB.

48. As one of many examples of Defendants' continuous course of misconduct, in *Custom Home Health, Inc, supra*, the Honorable Martha D. Anderson found that "it appears that Counter-Defendant Detroit IT, LLC may be improperly withholding the requested login access credentials and interfering with plaintiff's relationships with its patients and new IT service provider." See Order Granting Plaintiff's Emergency Motion for a Temporary Restraining Order and Requiring Counter-Defendant to Show Cause, attached as **Exhibit B**.

49. In issuing a Temporary Restraining Order against Detroit IT, without notice to Detroit IT, Judge Anderson found that "Plaintiff will suffer irreparable harm if this order is not entered because Plaintiff and its new IT service Provider will be unable to access and use Plaintiff's own computers, network servers, and devices, compromising Plaintiff's ability to provide service to its patients. . . ." *Id.*

50. Attached as **Exhibit C** is Custom Home Health, Inc. Emergency Motion detailing similar conduct committed by Defendants as against Detroit Axle.

51. In *Search Plus International Inc., supra*, now retired Judge James Alexander

issuing a Temporary Restraining Order against Detroit IT for similar misconduct, requiring Detroit IT to “provide all passwords, access information and other information to allow Plaintiff to access it’s business information contained on Counter-Defendant’s servers or at Counter-Defendant’s premises within 48 hours of this Order.” **Exhibit D.**

52. In *Axle of Dearborn Inc.*, the Honorable Stephanie Dawkins Davis, after an evidentiary hearing on Axle of Dearborn’s Motion for Preliminary Injunction against Detroit IT, entered an order which Detroit IT stipulated to that required Detroit IT to turn over Axle of Dearborn’s passwords “within three (3) business hours of Plaintiffs’ counsel providing to counsel for Defendants Detroit IT, LLC (“Detroit IT”) and Eric Grundlehner (“Grundlehner,” together with Detroit IT, the “Defendant”) confirmation that the Court has received” Axle of Dearborn’s bond. *See* Stipulated Order Regarding Plaintiffs’ Emergency Motion for Entry of a Temporary Restraining Order and Preliminary Injunction, attached as **Exhibit E.**

53. In fact, in *Axle of Dearborn Inc.*, a separate judge, the Honorable Gershwin A. Drain issued an order that held that Counter-Defendant actions, as described above, could form the basis of a civil RICO claim. *See* RICO Order, attached as **Exhibit F.**

54. Counter-Defendant continue to pose a threat of similar misconduct and criminal activity against other customers similarly situated to LSIA and continue to engage in their wrongful actions despite the numerous cases against them.

COUNT I
Breach of Contract
(Detroit IT)

55. LSIA reasserts and incorporates all the prior paragraphs as though fully stated.

56. In or about January 2020, LSIA began utilizing Detroit IT for the Services.

57. Detroit IT was required to provide the Services in a professional and workmanlike

manner.

58. Instead, as alleged above Detroit IT failed to perform the Services and many of the Services that it did perform were not performed in a professional and competent manner.

59. Instead of fulfilling its contractual obligations, Detroit IT failed to provide the services and equipment it was obligated to provide on a timely basis or never provided it at all.

60. By its actions, as described above, Detroit IT has materially breached its contractual obligations.

61. LSIA has been damaged in an amount to be determined at trial, but in excess of \$25,000.00, exclusive of interest, costs, and attorneys' fees, by Detroit IT's breach of its agreements.

WHEREFORE, LSIA respectfully requests a judgment in its favor and against Detroit IT in an amount in excess of \$25,000.00 plus interest and its costs and attorneys' fees incurred in exercising its rights and remedies, and such other and further relief as this Court deems just and proper under the circumstances.

COUNT II

Violation of the Computer Fraud and Abuse Act, 18 U.S.C. §1030 ("CFAA") (Detroit IT and Grundlehner)

62. LSIA reasserts and incorporates all prior paragraphs as though fully stated.

63. In addition to its criminal penalties, the CFAA gives a private cause of action for the damage and losses caused by the intentional, unauthorized, access of a protected computer.

64. During the relevant period, Defendants were not authorized to and/or exceeded its authorization to access LSIA's e-mail accounts, communications and files.

65. Upon information and belief, Defendants also intentionally and without consent, permission, or authorization gained access to confidential and sensitive information through its accessing of LSIA's e-mails accounts and communications.

66. Further, Defendants regularly accessed LSIA's Advent server and changed the passwords to LSIA's Advent server, which blocked LSIA's ability to access its e-mail communications – even though Defendants were explicitly told not to access, or change the passwords to, the Advent server.

67. LSIA's computer and network systems and servers are protected computers which at all relevant times operated and affected interstate commerce.

68. Defendants' intentional access of the protected computers caused loss and damages to LSIA.

69. LSIA's damages from Defendants' unauthorized access exceed \$5,000.00.

70. Detroit IT took all such actions knowingly and intentionally and without LSIA's consent or permission and in violation of the Computer Fraud and Abuse Act.

71. As a direct and proximate result of Detroit IT's unlawful and improper actions, LSIA has suffered losses in an amount to be proven at trial.

72. Punitive and exemplary damages are appropriate because Detroit IT's actions were willful and intentional.

WHEREFORE, LSIA respectfully requests a judgment in its favor and against Defendants in an amount in excess of \$25,000.00 plus interest and its costs and attorneys' fees incurred in exercising its rights and remedies, along with punitive damages, and such other and further relief as this Court deems just and proper under the circumstances.

COUNT III

Violation of the Stored Communications Act, 18 U.S.C. § 2701 *et seq.* ("SCA") (Detroit IT and Grundlehner)

73. LSIA reasserts and incorporates all prior paragraphs as though fully stated.

74. The SCA prohibits the intentional access of a facility through which an electronic communication service is provided without authorization, or intentionally exceeding authorization to access that facility, and the obtaining, altering, or prevention of authorized access to an electronic communication while it is in electronic storage in such system.

75. In addition to its criminal penalties, the SCA provides a civil cause of action for any person aggrieved by any violation of the SCA.

76. Defendants intentionally and without authorization gained access to confidential and sensitive information stored on a facility through which an electronic communications service is provided by accessing LSIA's computer and network systems and cloud-based accounts, which contained communications between LSIA and its clients and confidential information about LSIA's business and its clients' nonpublic financial information.

77. Defendants also prevented LSIA from accessing its electronic communications by, among other things, changing the passwords to LSIA's Advent server.

78. Under the SCA, LSIA's computer and network systems and the servers its cloud-based accounts can be accessed through are a facility through which an electronic communication service is provided.

79. Without authorization, Defendants obtained access to confidential, proprietary, and sensitive business records and electronic communications of LSIA while they were stored on said computers, networks, and servers.

80. Defendants' unauthorized access or access in excess of authorization caused actual harm to LSIA.

81. Defendants took all such actions knowingly and intentionally and in violation of the SCA.

82. Punitive and exemplary damages are appropriate because Defendants' actions were willful and intentional.

83. This Court should award LSIA its attorneys' fees under 18 U.S.C. § 2707(c).

WHEREFORE, LSIA respectfully requests that this Court enter a judgment in its favor and against Defendants, jointly and severally, grant LSIA damages against Defendants in an amount in excess of \$25,000.00, including, but not limited to, actual damages, punitive damages, and statutory damages, plus its costs and attorneys' fees, and any such other and further relief as the Court deems just and proper.

COUNT IV
Request for Declaratory Relief
(Detroit IT)

84. LSIA reasserts and incorporates all prior paragraphs as though fully stated.

85. An actual, existing, and bona fide controversy exists between LSIA and Detroit IT with respect to LSIA's ownership of its domains.

86. LSIA paid for and own the following domains:

- a. mylsia.com;
- b. lsiaway.com;
- c. thelsiaway.com;
- d. lsiawealth.com;
- e. lsiainstitutional.com;

f. mylsiawealth.com; and

g. mylsiainstitutional.com

(collectively, the “Domains”).

87. Detroit IT is merely the registrant of the Domains on behalf of LSIA, while LSIA is the owner of the Domains.

88. LSIA is entitled to a Declaratory Judgment that it is the rightful owner of its domains, and that Detroit IT has no possessory interest and/or rights to the Domains.

89. If LSIA’s rights are not adjudicated by way of declaratory action, there will be adverse consequences to LSIA, including, but not limited to, Detroit IT’s wrongful withholding of access to LSIA’s Domains from it.

90. Further, if Detroit IT is not required to transfer registration of the Domains to LSIA, it will suffer irreparable harm due to its inability to utilize the Domains and it could potentially result in the Domains being used by a competitor for which LSIA would have no adequate remedy at law.

WHEREFORE, LSIA respectfully requests that this Court enter a declaratory judgment in its favor and against Detroit IT, ruling that LSIA is the rightful owner of its domains and that Detroit IT has no possessory interest and/or rights to the domains, awarding injunctive relief requiring Detroit IT to transfer registration of the Domains on the WHOIS registry to LSIA, and awarding such other and further relief as this Court deems just and proper under the circumstances.

COUNT V
Civil Conspiracy
(Detroit IT and Grundlehner)

91. LSIA reasserts and incorporates all prior paragraphs as though fully stated.

92. Defendants, directly and/or through their agents, entered into an agreement to harm LSIA, or acted in concert in a manner that was detrimental to LSIA.

93. Grundlehner acted outside the scope of his job responsibilities, and individually engaged in tortious conduct against LSIA.

94. Defendants, illegally, maliciously, and wrongfully conspired with one another with the intent to, and for the illegal purpose of engaging in the impermissible acts described previously in this Complaint.

95. Defendants' actions, in combination, were tortious and/or unlawful, or in the alternative, were designed to accomplish an unlawful purpose, or accomplish a lawful purpose through unlawful means.

96. As a result of the conspiracy and Defendants' illegal, wrongful, and tortious acts, LSIA sustained significant damages.

WHEREFORE, LSIA respectfully requests a judgment in its favor and against Defendants in an amount in excess of \$25,000.00 plus interest and its costs and attorneys' fees incurred in exercising its rights and remedies, and such other and further relief as this Court deems just and proper under the circumstances.

COUNT VI
Common Law and/or Statutory Conversion
(Detroit IT and Grundlehner)

97. LSIA reasserts and incorporates all prior paragraphs as though fully stated.

98. LSIA owns the Domains.

99. Detroit IT and Grundlehner represented to LSIA that in order to manage LSIA's website and email accounts, it needed to be named as the registrant of the Domains with the Registrar of the Domains, GoDaddy.

100. LSIA changed the registration of the Domains to Detroit IT solely so that Detroit IT could provide it with services pursuant to the Agreement.

101. LSIA never transferred ownership or title to the Domains to Detroit IT.

102. LSIA has owned the Domains at all relevant times and the Domains are its property.

103. LSIA purchased and paid for the Domains.

104. LSIA owned the Domains prior to any relationship with Detroit IT existing.

105. The Domains are unique and cannot be shared or duplicated.

106. The Domains include LSIA's trade name.

107. The Domains have been exclusively used by LSIA for its business.

108. The ownership of the Domains when purchased were embodied in documents from the registrar indicating LSIA's ownership of the Domains.

109. Detroit IT and Grundlehner unlawfully engage in a distinct act of dominion over LSIA's property, the Domains, by misrepresenting the need for the Domains to reflect Detroit IT as the registrant in order to lock LSIA out of exercising its rights of ownership of the Domains.

110. As a result of Detroit IT and Grundlehner's actions, LSIA has been unable to fully utilize and/or control the Domains, and have been unable to use the Domains for their intended purpose.

111. Detroit IT and Grundlehner unlawfully and through fraud acquired control over the Domains for the purpose of leveraging the Domains and holding them hostage in case of a dispute between them and LSIA.

112. Detroit IT and Grundlehner have and continue to use the Domains for their own personal use.

113. By doing so, Detroit IT and Grundlehner has committed common law and statutory conversion, pursuant to MCL 600.2919a, which entitles LSIA to treble damages and attorneys' fees against Detroit IT and Grundlehner.

114. Defendants conduct has caused significant and material damages to LSIA.

WHEREFORE, LSIA respectfully requests that this Court enter a judgment in its favor and against Defendants, grant LSIA damages against Defendants, including, but not limited to, actual damages and treble damages, plus their costs and attorneys' fees, and any such other and further relief as the Court deems just and proper.

Respectfully submitted,

Taft Stettinius & Hollister, LLP

Date: November 13, 2023

By: /s/Jon Sriro

Jon Sriro (P52100)

Benjamin M. Low (P82834)

Attorneys for Defendant/Counter-Plaintiff

Third-Party Plaintiff LS Investment Advisors, LLC

27777 Franklin Road, Suite 2500

Southfield, MI 48034

248-351-3000

jsriro@taftlaw.com

benlow@taftlaw.com

JURY DEMAND

LSIA demands a jury on all claims so triable.

Respectfully submitted,

Taft Stettinius & Hollister, LLP

/s/Jon Sriro

Jon Sriro (P52100)

Benjamin M. Low (P82834)

Taft Stettinius & Hollister, LLP

Attorneys for LSIA

**STATE OF MICHIGAN
IN THE OAKLAND COUNTY CIRCUIT COURT
BUSINESS COURT**

DETROIT IT, LLC, a Michigan limited liability company,

Plaintiff/Counter-Defendant,

Case No. 23-199795-CB

Honorable Michael Warren

v.

LS INVESTMENT ADVISORS, LLC, a Michigan limited liability company,

Defendant/Counter-Plaintiff,

and

LS INVESTMENT ADVISORS, LLC, a Michigan limited liability company,

Third-Party Plaintiff,

v.

ERIC GRUNDLEHNER, an individual,

Third-Party Defendant.

Bradley S. Defoe (P70233)
Marisa K. McConnell (P86697)
Attorneys for Plaintiff/Counter-Defendant
480 Pierce Street, Suite 300
Birmingham, MI 48009
bsdefoe@varnumlaw.com
mkmccconnell@varnumlaw.com

Jon Sriro (P52100)
Benjamin M. Low (P82834)
Taft Stettinius & Hollister, LLP
Attorneys for Defendant/Counter-Plaintiff
Third-Party Plaintiff
27777 Franklin Road, Suite 2500
Southfield, MI 48034
248-351-3000
jsriro@taftlaw.com
benlow@taftlaw.com

CERTIFICATE OF SERVICE

I hereby certify that on November 10, 2023, my office caused to be served a copy of the
First Amended Counterclaim And Third-Party Complaint With Jury Demand and this *Certificate*

of Service using the Court electronic filing system which will send notification of such filing to all parties who have filed appearances in this case.

/s/Tina M. Torni
Tina M. Torni
Email: ttorni@taftlaw.com